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Case Number: 24TRCV02403 Hearing Date: August 5, 2026 Dept: 224

Admiral Hospice Health Care, Inc. v. Josie Jones

TENTATIVE RULING

Accordingly, Defendants' Demurrer to the Second Amended Complaint is SUSTAINED with 30 days leave to amend as to all ten causes of action.

Defendants' Motion to Strike the Second Amended Complaint is DENIED as Moot.

ANALYSIS

I. INTRODUCTION

Plaintiffs Admiral Hospice Health Care, Inc.; Admiral Home Health Care, Inc.; and Kamran Jahangard ("Jahangard") (collectively, "Plaintiffs") filed this contractual fraud action against Defendants Josie Jones ("Jones"); Admiral Hospice Care, Inc.; Admiral Home Health, Inc. (collectively, "Defendants"); and DOES 1 through 50.

On August 29, 2025, Plaintiffs filed the operative Second Amended Complaint ("SAC") against Defendants and DOES 1 through 50, asserting ten causes of action for: (1) Breach of Contract; (2) Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Fraud; (4) Negligent Misrepresentation; (5) Indemnity; and (6) Declaratory Relief.

On October 27, 2025, Defendants filed the instant Demurrer and Motion to Strike the SAC. Any opposition would have been due on July 23, 2026. To date, no opposition has been filed.

II. LEGAL STANDARD

Demurrer

"The primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)¿

“A¿demurrer¿tests the legal sufficiency of the factual allegations in a complaint.” (Ivanoff v. Bank of America, N.A.¿(2017) 9 Cal.App.5th 719, 725.) The Court looks to whether “the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (Id.) The Court does not “read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint ‘as a whole and its parts in their context.’ [Citation.]” (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court “assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (Harris, supra, 56 Cal.4th p. 240.) “The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) “‘‘[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.’” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

Motion to Strike

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e).” (Code Civ. Proc., § 435, subd. (b)(1).)¿¿

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.” (Code Civ. Proc., § 436, subd. (a); see also Stafford v. Shultz (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”.].)¿

The court may also strike all or any part of any pleading not drawn or filed in conformity with California law, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) An immaterial or irrelevant allegation is one that is not essential to the statement of a claim or defense; is neither pertinent to nor supported by an otherwise sufficient claim or defense; or a

demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)¿¿

III. MEET AND CONFER

Prior to filing a demurrer and motion to strike, the demurring/moving party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer and motion to strike. (Code Civ. Proc., § 430.41; Code Civ. Proc., § 435.5.)¿¿

Here, Defendants' counsel of record, Robert A. Kashfian, attests to the following meet and confer efforts: "On or about September 24, 2025, my office spoke with Plaintiffs' counsel by telephone. The parties discussed the issues raised in Defendants' demurrer but were unable to come to a resolution." (Kashfian Decl. ISO Demurrer, ¶¶7-8; see also Kashfian Decl. ISO Motion to Strike, ¶¶7-8.) As such, the Court finds that Defendants' fulfilled their meet and confer obligations.

IV. DISCUSSION

Defendants demur to all ten causes of action on the grounds that: (1) the breach of contract claims do not state how any of the conduct alleged amounts to a breach of any contractual provision; (2) the third cause of action is based on the same conduct alleged in the breach of contract claims; (3) the fraud and negligent misrepresentation are not pled with specificity; (4) interference claims fails to allege any specific economic relationships; (5) the indemnity claim fails because Plaintiff does not allege any claims or liabilities falling within the purview of the indemnification provisions; and (6) the declaratory relief claim merely parrots the other claims.

Breach of Contract Claims (1st through 2nd COAs)

Establishing a breach of contract claim, "requires a showing of (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (D'Arrigo Bros. of California v. United Farmworkers of America (2014) 224 Cal.App.4th 790, 800 (internal quotations omitted).) "Further, the complaint must indicate on its face whether the contract is written, oral, or implied by conduct." (Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal.App.3d 452, 458–459.) Generally, if the claim is based upon a written contract, the complaint must set out the contract's terms verbatim or the plaintiff must attach a copy of the written contract to the complaint and incorporate it by reference. (Id.) Otherwise, "a plaintiff may plead the legal effect of the contract rather than its precise language." (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198–199.) "In order to plead a contract by its legal effect, plaintiff must 'allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions.'" (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1489.)

The SAC alleges, inter alia, that on or about November 4, 2022, Plaintiff Admiral Home Health Care, Inc. entered into a written Asset Purchase Agreement ("Home Health APA") with Defendant Admiral Home Health, Inc. ("AHH"), and a written Asset Purchase Agreement ("Hospice APA") with Defendant Admiral Hospice Care, Inc. ("AHC"). (SAC, ¶¶18-19, 47, 55, Exs. A-B.) AHH agreed to sell the assets and operations of a licensed home health agency to Plaintiff Admiral Home Health Care, Inc. pursuant to the Home Health APA. (Id., ¶47.) Plaintiff

Admiral Home Health Care, Inc. performed all obligations required under the Home Health APA. (Id., ¶50.) AHH breached the Home Health APA by "failing to disclose pending audits and compliance actions by state or federal agencies; failing to disclose that Defendants lacked valid licenses and contracts with referring facilities; providing materially false and incomplete financial documentation; and delivering a business with significant operational and billing irregularities in violation of the APA." (Id., ¶51.) Similarly, AHC agreed to sell the assets and operations of a hospice agency to Plaintiff Admiral Home Health Care, Inc. pursuant to the Hospice APA. (Id., ¶55.) The Hospice APA required Defendants to provide truthful disclosures, accurate accounting, transfer of valid licenses, and operational integrity. (Id., ¶57.) Plaintiff Admiral Home Health Care, Inc. performed all obligations required under the Hospice APA. (Id., ¶58.) AHC breached the Hospice APA by "delivering a business lacking valid hospice certifications and proper staffing; concealing investigations or administrative inquiries pending with the Department of Health or CMS; falsifying revenue projections and census data; misrepresenting the operational status of key 28 service facilities." (Id., ¶¶59, 61.) As a direct and proximate result of these breaches, Plaintiffs have suffered damages. (Id., ¶¶52, 62.)

The parties also entered into two Interim Management Agreements ("IMAs"), wherein AHC and AHH were obligated to enable Plaintiffs to operate the businesses while the subject applications for issuance of licenses and/or transfer of licenses were pending based on and subject to directions by AHC, AHH, or Jones. (SAC, ¶¶21-23, 25-26, Exs. C-D at § 2.1(J).) Jones refused to undertake and perform per Section 2.1 (J) of the IMAs. (Id.) This was a material breach of Section 1.4 of Home Health APA and Hospice APA (collectively,. “APAs”). (Id., ¶29.)

Here, Plaintiffs attach the relevant contractual agreements to the SAC and makes specific references to provisions Defendants are alleged to have breached. First, Section 1.4 of the APAs, expressly states as follows:

“Interim Management Agreement. The Parties acknowledge that certain Permits may not be transferred or otherwise assumed by Purchaser prior to the Closing Date. At the Closing, and consistent with all applicable laws and regulations, Purchaser and Seller will enter into a management agreement in the form attached as Exhibit A hereto (the “Interim Management Agreement”), providing for the ongoing operation of the Business on and after the Closing Date, pending Purchaser’s receipt of a home health agency license (the “HHA License”) from the California Department of Public Health (“CDPH”) that is necessary to operate the Business. The Interim Management Agreement will allow Purchaser to operate the Business under Seller’s HHA License on a short-term basis, with Purchaser assuming responsibility for all operational expenses of the Business during the term of the Interim Management Agreement and indemnifying and holding harmless Seller for all Losses during such period, except those Losses arising from Seller’s gross negligence or intentional misconduct. The Interim Management Agreement shall terminate upon issuance of the HHA License by the CDPH to the Purchaser.” (SAC, ¶18, Ex. A at pp. 2-3 [emphasis added].)

“Interim Management Agreement. The Parties acknowledge that certain Permits may not be transferred or otherwise assumed by Purchaser prior to the Closing Date. At the Closing, and consistent with all applicable laws and regulations, Purchaser and Seller will enter into a management agreement in the form attached as Exhibit A hereto (the “Interim Management Agreement”), providing for the ongoing operation of the Business on and after the Closing Date, pending Purchaser’s receipt of a hospice license (the “Hospice License”) from the California Department of Public Health (“CDPH”) that is necessary to operate the Business. The Interim Management Agreement will allow Purchaser to operate the Business under Seller’s Hospice License on a short-term basis, with Purchaser assuming responsibility for all operational expenses of the Business during the term of the Interim Management Agreement and indemnifying and holding harmless Seller for all Losses during such period, except those Losses arising from Seller’s gross negligence or intentional misconduct. The Interim Management Agreement shall terminate upon issuance of the HHA License by the CDPH to the Purchaser.” (SAC, ¶19, Ex. B at pp. 2-3.)

“For purposes of a demurrer, we accept as true both facts alleged in the text of the complaint and facts appearing in exhibits attached to it.” (Mead v. Sanwa Bank California (1998) 61 Cal.App.4th 561, 567-568.) However, “[i]f facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence.” (Holland v. Morse Diesel Intern., Inc. (2001) 86 Cal.App.4th 1443, 1444.) Essentially, allegations “which are contradicted by the express terms of an exhibit incorporated into the complaint” are disregarded by the Court. (Breneric Associates v. City of Del Mar (1998) 69 Cal.App.4th 166, 180.)

According to Section 1.4 of the APAs, AHC and AHH were only obligated to enter into the IMAs with Plaintiffs pending Plaintiffs’ receipt of hospice and home health agency licenses, and allow Plaintiffs to operate under their licenses. As shown above, the SAC explicitly alleges that the parties did enter into the IMAs. Furthermore, there is no allegation that AHC, AHH, and/or Jones failed to allow Plaintiffs to use their home health agency and hospice licenses in accordance with Section 1.4 of the APAs. As such, the SAC allegations regarding a material breach of Section 1.4 of the APAs is expressly contradicted by the contractual provision itself.

Next, Section 2.1(J) of the IMAs, it states as follows: “Responsibilities Retained by Licensee. Manager shall perform the functions described in this Agreement in accordance with the polices and directives given by Licensee to Manager. By entering into this Agreement, Licensee shall retain, as licensee of the Provider, all of the powers, duties, and responsibilities required to be retained by the licensee of Provider under law (including all certifications and licenses issued under authority of law for operation of the Provider by Licensee). Licensee may adopt as the Provider policy recommendations or proposals made by Manager. Licensee shall be the holder of all licenses, accreditation certifications, and contracts that Licensee is required to hold as licensee of the Provider.” (SAC, ¶22, Ex. C at p. 3; see also ¶25, Ex. D at p. 4.) However, the SAC devoid of any allegations as to how Defendants breached this provision of the IMAs. To the extent the SAC alleges that issues with Jones’ own licenses and/or permits delayed Plaintiffs’ process in obtaining their own appropriate licenses and/or transfer of licenses, the SAC does not identify any provision where Jones was required to assist Plaintiffs in obtaining licensure at all let alone within a designated timeframe such that the delays would be considered a material breach of the parties agreements.

Likewise, the SAC does not identify any contractual term or provision where Defendants were obligated to disclose audits and compliance actions, issues with licensure, etc. Contrarily, the APAs obligated Plaintiffs to exercise their own due diligence in seeking such information from Defendants. (SAC, ¶¶18-19. Exs. A-B, §§3.3, 6.4.) As such, the SAC fails to properly plead breach of contract as to the Home Health APA, Hospice APA, and respective IMAs.

Accordingly, the demurrer to the first and second causes of action is SUSTAINED with leave to amend.

Breach of the Implied Covenant of Good Faith and Fair Dealing (3rd COA)

“[T]he factual elements necessary to establish a breach of the covenant of good faith and fair dealing are: (1) the parties entered into a contract; (2) the plaintiff fulfilled his obligations under the contract; (3) any conditions precedent to the defendant’s performance occurred; (4) the defendant unfairly interfered with the plaintiff's rights to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant’s conduct.” (Rosenfeld v. JPMorgan Chase Bank, N.A. (N.D. Cal. 2010) 732 F.Supp.2d 952, 968, citing BAJI No. 325.)

“A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that [b]ad faith implies unfair dealing rather than mistaken judgment....” (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394 (internal citations omitted).) “If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated. Thus, absent those limited cases where a breach of a consensual contract term is not claimed or alleged, the only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (Id.)

The SAC alleges, inter alia, that the APAs and IMAs, each contained an implied covenant of good faith and fair dealing requiring defendant to refrain from taking any action that would prevent Plaintiffs from receiving the benefits of the contractual agreements. (SAC, ¶¶65-66.) Defendants breached the implied covenant of good faith and fair deadling by "knowingly withholding material information relating to liabilities, audits, and compliance problems; failing to cooperate in regulatory filings required for ownership transfers; sabotaging operational integration by removing staff and access to patient records; making unfounded accusations of non-payment in an attempt to accelerate the promissory note unjustly.” (Id., ¶67.) Defendants’ conduct was designed to undermine the purpose of the agreements and force Plaintiffs into a compromised legal and financial position. (Id., ¶68.) As a result of these breaches, Plaintiffs have suffered damages. (Id., ¶69.)

Reading the SAC as a whole, the third cause of action is based on the same allegations set forth in the breach of contract claims and seek the same damages. Essentially, there are no allegations of conduct by Defendants that goes beyond the purported breach of contractual duties. This claim is merely duplicative of the first and second causes of action.

Accordingly, the demurrer to the third cause of action is SUSTAINED with leave to amend.

Fraud and Negligent Misrepresentation Claims (4th through 6th COAs)

“The elements of fraud,” including a cause of action for fraudulent inducement, “are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

The elements of a cause of action for fraudulent concealment are: (1) concealment of a material fact; (2) by a defendant with a duty to disclose; (3) the defendant intended to defraud by failing to disclose; (4) plaintiff was unaware of the fact and would not have acted as it did had it known the fact; and (5) damages." (Butler America, LLC v. Aviation Assurance Company, LLC (2020) 55 Cal.App.5th 136, 144.) A concealment cause of action has a more relaxed specificity requirement as compared to affirmative misrepresentations because a concealment claim does not assert that Defendant actively or affirmatively defrauded the public in general or Plaintiff in particular. The rule of specifically pleading how, when, where, to whom and by what means, misrepresentations were communicated is intended to apply to affirmative misrepresentations and not to concealment. (Alfaro v. Community Housing Improvement System & Planning Assn, Inc. (2009) 171 Cal.App.4th 1356 at 1384.)

"The elements of negligent misrepresentation are '(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.'" (National Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group, Inc. (2009) 171 Cal.App.4th 35, 50.)

The SAC alleges, inter alia, that Defendants states to Plaintiff, both orally and in writing,

"that the subject businesses which were being purchased by Plaintiffs from Defendants, were in fact financially viable, healthy and profitable, that there were no pending or threatened audits, investigations, or administrative enforcement actions; that patient records and billing were in, compliance with applicable law; that all required licenses, permits and ... contracts were in the name of Defendant Jones and that such permits and licenses were valid, active and in good standing." (SAC, ¶¶72, 91.) Jones also informed Plaintiffs that all such licenses and/or permits were available and could be easily obtained and/or transferred or assigned from Defendants to Plaintiffs. (Id.) Defendants knew these representations were false and/or had no reasonable basis to believe they were true but made them with the intent to induce Plaintiffs to enter into the contractual agreements. (Id., ¶73.) Plaintiffs reasonably relied on these representations by deciding to execute the related contractual agreements. (Id., ¶¶75, 95.) Plaintiffs would not have entered into the contractual agreement had they known the true facts. (Id., ¶96.) As a direct and proximate result of these breaches, Plaintiffs have suffered damages. (Id., ¶¶77, 78, 97, 99.)

With respect to the fourth and sixth causes of action, which are based on misrepresentations, the SAC fails to allege the names of the persons who made the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. To the extent the SAC names Jones as the one of the persons who made false representations, it does not specify which statements Jones purportedly made, to whom she made these statements to, when and how she made these statements to Plaintiffs. The SAC does not even allege any distinction between which statements were made orally as opposed to in writing.

As to the fifth cause of action for concealment, the SAC alleges that Defendants had a duty to disclose material facts concerning the nature and condition of the businesses being sold. (SAC, ¶82.) Defendants failed to disclose and actively concealed that the businesses were under regulatory investigation or audit, licenses and facility contracts had lapsed, revenue projections were artificially inflated, and Defendants had received notices of deficiency or noncompliance prior to execution of the parties' purchase and sale agreements. (Id., ¶83.) Plaintiffs are informed and believe, that these omissions were intentional and calculated to induce Plaintiffs to proceed with the transactions. (Id., ¶84.) Plaintiffs would not have entered into the contractual agreement had they known the true facts. (Id., ¶85.) As a direct and proximate result of these breaches, Plaintiffs have suffered damages. (Id., ¶¶86, 88.)

The complaint may state allegations is based upon "information and belief," where matters are not within plaintiff(s) personal knowledge, and information leads them to believe the allegations are true, including the information that leads them to have the belief. (See Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550; Pridonoff v. Balokovich (1951) 36 Cal.2d 788, 792.) The SAC is devoid of any alleged facts as to how Plaintiffs have come to believe Defendants purported concealment was intentionally done to defraud them.

Accordingly, the demurrer to the fourth through sixth causes of action is SUSTAINED with leave to amend.

Intentional and Negligent Interference Claims (7th through 8th COAs)

The elements of Intentional Interference With Prospective Economic Relations claim are: " '(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant.' [Citations.]" (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1153.) Specifically, "intentionally interfering with prospective economic advantage requires pleading that the defendant committed an independently wrongful act." (Ixchel Pharma, LLC v. Biogen, Inc. (2020) 9 Cal.5th 1130, 1142.) "[A]n act is independently wrongful if it is unlawful, that is, if it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (Id.)

"The tort of negligent interference with prospective economic advantage is established where a plaintiff demonstrates that (1) an economic relationship existed between the plaintiff and a third party which contained a reasonably probable future economic benefit or advantage to plaintiff; (2) the defendant knew of the existence of the relationship and was aware or should have been aware that if it did not act with due care its actions would interfere with this relationship and cause plaintiff to lose in whole or in part the probable future economic benefit or advantage of the relationship; (3) the defendant was negligent; and (4) such negligence caused damage to plaintiff in that the relationship was actually interfered with or disrupted and plaintiff lost in whole or in part the economic benefits or advantage reasonably expected from the relationship." (North American Chemical Co. v. Superior Court (1997) 59 Cal.App.4th 764, 786.)

The SAC alleges, inter alia, that Plaintiffs had business relationships and reasonable expectations of economic advantage with identifiable third parties including referral sources, regulatory agencies, insurance providers, healthcare facilities, and patients. (SAC, ¶¶101, 110.) Defendants engaged in intentional acts designed to disrupt these relationships including making false statements to third parties, removing staff and access to key systems, and interfering with the regulatory process. (Id., ¶103.) Defendants knew or should have known disrupting these relationships, which depended on the successful transfer and operation of the businesses would cause harm to Plaintiffs. (Id., ¶¶102, 111.) Defendants' conduct caused actual disruption of Plaintiffs' relationships with third parties and resulted in economic harm. (Id., ¶113.) However, despite the representation that the identities of these third parties are known to Plaintiffs, the SAC does not identify who these third parties actually are. "[A] claim for tortious interference is properly dismissed where "either the economic relationship with a third party is too attenuated or the probability of economic benefit is too speculative." (George v. eBay, Inc. (2021) 71 Cal.App.5th 620, 639.) As such, "[m]erely referring to unidentified 'repeat buyers' is insufficient, when there are no facts to show that the unidentified buyers were likely to purchase the unidentified listings that were supposedly 'hidden' by eBay." (Id.) Moreover, the SAC does not contain any allegations to support Defendants' conduct was independently wrongful and/or how Defendants' actually disrupted the claimed relationships.

Accordingly, the demurrer to the seventh and eighth causes of action is SUSTAINED with leave to amend.

Ninth Cause of Action for Indemnity

"The elements of a cause of action for indemnity are (1) a showing of fault on the part of the indemnitor and (2) resulting damages to the indemnitee for which the indemnitor is contractually or equitably responsible." (Great Western Drywall, Inc. v. Interstate Fire & Casualty Co. (2008) 161 Cal.App.4th 1033, 1041.) Specifically, "[t]he right [of indemnity] depends upon the principle that everyone is responsible for the consequences of his own wrong, and if others have been compelled to pay damages which ought to have been paid by the wrongdoer, they may recover from him. Thus the determination of whether or not indemnity should be allowed must of necessity depend upon the facts of each case. [Citations.]" (Major Clients Agency v. Diemer (1998) 67 Cal.App.4th 1116, 1126.) Therefore, "a fundamental prerequisite to an action for partial or total equitable indemnity is an actual monetary loss through payment of a judgment or settlement." (Id.) Likewise, "[i]t is well settled that a cause of action for implied indemnity does not accrue or come into existence until the indemnitee has suffered actual loss through payment. [Citations.]" (Id. at 1127.)

Here, the SAC alleges that the APAs and IMAs expressly and impliedly required Defendants to indemnify Plaintiffs from certain liabilities including liabilities resulting from Defendants' pre-closing conduct and misrepresentations. (SAC, ¶119.)

Plaintiffs are informed and believe that as a direct result of Defendants' conduct, Plaintiffs have been subject to claims, administrative audits, regulatory enforcement, and third-party demands, thereby incurring actual monetary loss via legal fees and expenses in defending such claims. (Id., ¶¶120-122.) Contrarily, the SAC does not specify which contractual provisions provides a basis for indemnity against Defendants. As cited earlier, Section 1.2 of the APAs, obligates Plaintiffs to indemnify Defendants. (SAC, ¶¶18-19, Exs. A-B at pp. 1-2.) In the moving papers, Defendants also identify an indemnity provision in Section 8.2 of the APAs (SAC, ¶¶18-19, Exs. A-B at pp. 19-20), which limits indemnification to losses incurred by Plaintiffs prior to the Closing Date as it relates to claims and liabilities whether or not arising out of a third party claim. While the SAC alleges these liabilities arose from Defendants' pre-closing conduct and misrepresentations, there is no allegation that Plaintiffs incurred actual losses prior to the Closing Date. Reading the SAC as whole, Plaintiffs allege these losses occurred after the Closing Date.

Accordingly, the demurrer to the ninth cause of action is SUSTAINED with leave to amend.

Tenth Cause of Action for Declaratory Relief

Pursuant to the Code of Civil Procedure section 1060, "any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment. The declaration may be had before there has been any breach of the obligation in respect to which said declaration is sought." (Code Civ. Proc., § 1060.)

Nonetheless, "[t]he court may refuse to exercise the power granted by this chapter in any case where its declaration or determination is not necessary or proper at the time under all the circumstances." (Code Civ. Proc., § 1061.) Thus, based on the Court's finding that the underlying claims fail to plead sufficient facts to constitute causes of action against Defendants, the tenth cause of action is SUSTAINED with leave to amend.

Motion to Strike

Defendants also move to strike references to punitive damages and request for attorneys' pursuant to contract or statute in the SAC. (Mot. at 2:5-21.) However, due to the demurrer ruling, the Court finds that motion to strike is rendered moot.

V. CONCLUSION

Accordingly, Defendants' Demurrer to the Second Amended Complaint is SUSTAINED with 30 days leave to amend as to all ten causes of action.

Defendants' Motion to Strike the Second Amended Complaint is DENIED as Moot.

Defendants to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order.